Revision Date:
05/01/2024

Background:
Federal regulation requires households (HH) to meet specific income limits to be income eligible for CalFresh.

Purpose:
This section demonstrates how to calculate the CalFresh budget and determine the HH's benefit allotment. It explains the gross and net income tests that HHs must pass to be potentially eligible to benefits.

Policy:
A HH's income shall be determined at intake, Semi-Annual Report period, recertification, or when a mid-period change is acted upon. The monthly income shall then be compared to the gross and net income limits, for the appropriate HH size, to determine eligibility and benefit level.

1. Use of Conversion Factors:

When a HH receives gross income or is billed for an expense on a weekly, bi-weekly, or semi-monthly basis, the income or expense shall be converted into a monthly amount based on the following:

If income is received or an expense is billed…	**then multiply the average by….**
weekly,	4.33
bi-weekly,	2.167
semi-monthly,	2

2. Gross Income Test:

Gross income is the combined earned and unearned income of all HH members from any source that is not excluded. HH composition directly affects whether the gross income test applies to the HH. The table below demonstrates which HHs are subject to the gross income test and what the gross income limit is for the HH. Refer to Section 63-1101 for the maximum gross income amounts.

HH Type	**Maximum Gross Income Limit**
HH contains an elderly or disabled member	Not subject to the gross income test
HH is Categorically Eligible (CE), which means all HH members receive cash assistance - e.g., CalWORKs, General Relief, or Supplemental Security Income (SSI)	Not subject to the gross income test
HH is Modified Categorically Eligible (MCE)	200% of Federal Poverty Level (FPL)
HH contains an Intentional Program Violator (IPV)	130% of FPL
The head of HH does not comply with work requirements	130% of FPL

Note: When the HH type changes and it becomes entitled to a different maximum gross income limit, staff shall apply the new limit at the next recertification, reported change, or Semi-Annual Report period whichever occurs first.

Follow the steps in the table below to determine if a HH passes the gross income test. Refer to Section 63-101 on how to determine the HH size.

Step	Action
1.	Does the HH contain an elderly or disabled individual or are all HH members in receipt of cash assistance? • If YES – Stop, the gross income test does not apply. • If NO – Go to step 2.
2.	Add all gross non-excluded earned and unearned income together.
3.	Is anyone in the HH (besides an individual who is an ineligible noncitizen/Social Security Number (SSN) disqualified/fails to meet Able-Bodied Adults Without Dependents (ABAWD) work requirements) responsible for paying legally obligated child support to a non-HH member? • If YES – Proceed to Step 4. • If NO – This is the HH's total gross income, proceed to Step 5. **Note**: If an individual who is an ineligible noncitizen/SSN disqualified/fails to meet ABAWD work requirements pays child support, the child support is deducted from their gross income prior to it being prorated.
4.	Subtract any child support that is legally obligated to be paid to a non-HH member from the amount calculated in Step 2 to get the HH's total gross income.
5.	Round the HH's total gross income: • Up if the cents equal 50 – 99. • Down if the cents equal 0 – 49.
6.	Compare the HH's total gross income to the maximum gross income limit for the HH (refer to Section 63-1101 for the current amounts). Is the gross income at or below the FPL for the HH size? • If YES – The HH passes the gross income test and will now have its net income calculated to determine the benefit allotment. • If NO – Deny CalFresh the HH is ineligible based on excess income.

3. Net Income Test:
The net income of a HH is the income after all allowable deductions have been subtracted. The net income limit for all HHs is 100% of the FPL.

Follow the steps in the table below to calculate the net monthly income for a HH **without** an elderly or disabled individual. Refer to Section 63-101 on how to determine the HH size.

Step	Action
1.	**Gross Unearned Income:** a. Add all gross non-excluded unearned income together. b. Subtract legally obligated child support paid, if applicable, from the unearned income calculated in Step 1a (if there is any remaining child support subtract in Step 2d).
2.	**Gross Earned Income:** a. Add all non-excluded gross earned income together. b. Multiply Step 2a by 20%.

	c. Subtract Step 2b from Step 2a. d. Subtract the remainder of the legally obligated child support paid (balance from Step 1b), if applicable from Step 2c.
3.	**Nonexempt Gross Income:** Add gross unearned income (Step 1) and the gross earned income (Step 2) together.
4.	**Adjusted Net Income:** From the total nonexempt gross income (Step 3) subtract: a. The standard deduction (refer to 63-1101 for the current amount). b. Dependent care expense, if applicable. c. The homeless shelter deduction, if applicable.
5.	**Excess Shelter Deduction:** (Do not calculate if the HH receives the homeless shelter deduction) a. Add together all shelter expenses e.g., rent, mortgage, property tax, homeowners' association fees, utility allowances, to get the total shelter cost. b. Calculate 50% of the adjusted net income (Step 4). c. Subtract Step 5b from Step 5a.
6.	**Allowable Shelter Deduction:** a. Subtract the maximum excess shelter deduction (refer to 63-1101 for the current amount) from Step 5. b. The lesser of the Step 6a or the maximum excess shelter deduction (refer to 63-1101 for the current amount) is the allowable shelter deduction.
7.	**Net Monthly Income:** Subtract the allowable shelter deduction (Step 6) from the adjusted net income (Step 4).

If the HH contains at least one member who is elderly or disabled, follow the steps in the table below to calculate the HH's net monthly income. Refer to Section 63-101 on how to determine the HH size.

Step	Action
1.	**Gross Unearned Income:** a. Add all non-excluded gross unearned income together. b. Subtract legally obligated child support paid, if applicable from Step 2a (if there is any remaining child support subtract in Step 2d).
2.	**Gross Earned Income:** a. Add all non-excluded gross earned income together. b. Multiply Step 2a by 20%. c. Subtract Step 2b from Step 2a. d. Subtract the remainder of the legally obligated child support paid (balance from Step 1b), if applicable from Step 2c.
3.	**Nonexempt Gross Income:** Add gross unearned income (Step 1) and gross earned income (Step 2) together.
4.	**Adjusted Net Income:** From the nonexempt gross income (Step 3) subtract: a. The standard deduction. b. Medical expenses, if applicable. c. Dependent care expense, if applicable. d. The homeless shelter deduction, if applicable.

5.	**Allowable Shelter Deduction:** (Do not calculate if the HH received the homeless shelter deduction) a. Add together all shelter expenses e.g., rent, mortgage, property tax, homeowners' association fees, utility allowances, to get the total shelter cost. b. Calculate 50% of the adjusted net income (Step 4). c. Subtract Step 5b from Step 5a to get the allowable shelter deduction. **Note:** There is no maximum shelter deduction for a HH with an elderly or disabled member.
6.	**Net Income:** Subtract the allowable shelter deduction (Step 5) from the adjusted net income (Step 4).

Once the net income is calculated for a HH refer to the table below to determine the HH's eligibility and allotment.

Type of HH	If the HH is Over the Net Income Limit	If the HH is Below the Net Income Limit
Non-CE or Non-MCE of any size	Deny the application.	HH is eligible to CalFresh (refer below for how to determine the HH's allotment).
CE or MCE with 1 or 2 HH members	Entitled to the minimum allotment (refer to 63-1101 for the current minimum allotment).	
CE or MCE with 3 or more HH members	May be entitled to benefits (refer below for how to determine the HH's allotment). If the allotment is zero, the HH will be denied.	

Note: Refer to Section 63-120 for more info on CE and MCE.

4. Determining the Allotment:

A HH's allotment may be determined either by using the CalFresh Monthly Allotment Table or by calculating the allotment manually.

To determine the HH's allotment using the CalFresh Monthly Allotment Table, located in Eligibility Essentials under Desk Aids, follow the steps below.

Step	Action
1.	Refer to Desk Aid CalFresh Monthly Allotment Tables and Calculator.
2.	Under the Monthly Net Income column find the row that that contains the HH's net monthly income.
3.	Move along the row until you have reached the column that displays the correct HH size. That is the HH's monthly allotment.

Note: The table may show HHs of one or two that are over the net income limit as being eligible to more than the minimum allotment; however, they are only eligible to the minimum allotment and shall not receive more.

To calculate the HH's allotment manually follow the steps below.

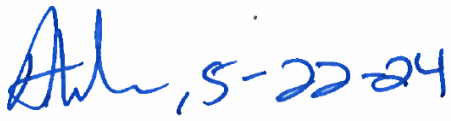
Step	Action
1.	Determine the HH's total net monthly income.
2.	Determine the maximum allotment for the HH size according to CalFresh Maximum Allotment Table (refer to Section 63-1101 for the amount).
3.	Multiply the net monthly income as determined in Step 1 by 30%. Round it up to the next whole dollar if ending in 1 – 99 cents.
4.	Calculate the CalFresh allotment by subtracting the amount determined in Step 3 from the maximum allotment determined in Step 2.

To prorate benefits for the initial month, calculate the HHs allotment, then refer to the Reciprocal Table for Prorating in 63-1101 to calculate the prorated benefit amount. If the HH is eligible to less than $10 in the initial month, benefits will not be issued to the HH for that month.

References:
MPP 63-503.31-.32
ACL 14-56, 14-63
CFR 273.9(a), 273.10(a), 273.10(e)

Sunset Date:
This policy will be reviewed for continuance on or by 05/31/2027.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services